plot the ratio of WPI of food to WPI of non-food items over time, it suggests an appreciable improvement in terms of trade for agriculture.

But when we look at the ratio of changes in input cost over the changes in the output price of agricultural commodities received on the basis of CACP data, it has remained flat, indicating that the gains from MSP increases have not accrued to the farm sector in full measure because the costs of inputs have been rising. This may indicate why production growth has not been stronger. What could explain this?

One explanation could be that MSPs also drive input costs, so increasing MSPs is like a dog chasing its tail – it can never catch it. Another could be that since rice and wheat are the primary food commodities procured at the MSP, production is distorted towards rice and wheat, leading to a sub-optimal production mix by farmers – too much rice and wheat, and too little of other needed commodities. Both these explanations would suggest the need for more moderation as the government sets the MSPs in coming months.

It is useful, though, to look at the details of the cost increases. Prices of agricultural inputs, including wages, have recorded a sharp increase during 2008-09 through 2012-13 in comparison with the preceding five years (2004-05 to 2007-08). Perhaps the most significant increase has been in rural wages. Nominal rural wages have grown at a sharp pace during the last five years. Because so many Indian workers are at subsistence wages, higher food prices do drive rural wages higher, and there is some evidence for this before 2007. From 2007 onwards, however, econometric tests suggest causality has flowed from wages to prices, underscoring the role of rural wages as a major determinant in food price increases. So why has rural wage growth been so strong?